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China Coal | Asia Pacific

Weekly Coal Update: Ongoing Safety Inspections Across Shanxi Continued to Curb Coking Coal Supply

Key Takeaways

- Thermal coal prices trended down WoW, while coking coal prices stayed resilient.

Thermal coal prices trended down: QHD 5500 inched up 0.1% WoW to Rmb727/t as of July 3. BSPI dipped 0.3% WoW to Rmb712/t. CCI 5500 slipped 0.6% WoW to Rmb851/t. Mine-mouth prices for Shanxi Datong 5800 declined 3.4% WoW to Rmb700/t.

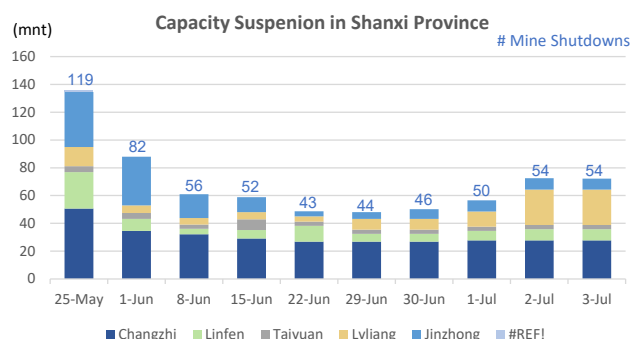
Seaborne prices increased slightly: NEWC prices inched up 0.8% WoW.

Domestic coking coal prices stayed resilient: Liulin No. 4 mine-mouth prices remained stable WoW at Rmb865/t. FOR prices unchanged at Rmb2,040/t. QLD prices edged up 0.4% WoW to US\$242/t.

Chart of the Week – Shanxi sees mixed coking coal mine stoppages and restarts:

Ongoing safety inspections across Shanxi continued to curb coking coal supply, with frequent production stoppages and restarts at mines. Most mines are operating at 30-70% of capacity due to safety checks, previous overproduction and other operational issues, keeping regional supply low, according to a survey by Sxcoal. As of July 3, a total of 54 coking coal mines across five cities – Changzhi, Taiyuan, Jinzhong, Luliang and Linfen – were idled, with a combined capacity of 72.15 million tonnes per annum (mtpa), Sxcoal data showed. The number of halted mines was flat from a day ago but down 65 from May 25. Suspended capacity fell 0.3 mtpa day on day and 62.35 mtpa from May 25.

Exhibit 1: Chart of the Week – Capacity Suspension in Shanxi Province



Source: Sxcoal, Morgan Stanley Research.

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Industry View

Cautious

Exhibit 2 : Data for the week

		3-Jul	WoW	YTD	YTD avg	'25 avg	YTD vs '25
Regional							
NEWC thermal coal	US\$/ton	130	0.8%	19.3%	128	106.6	20.0%
QLD coking coal	US\$/ton	242	0.4%	11.0%	234	189.0	23.9%
China							
QHD 5500 kcal/kg	Rmb/ton	727	0.1%	4.6%	702	684	2.7%
CCI 5500 kcal/kg	Rmb/ton	851	-0.6%	24.8%	773	864	-10.6%
BSPI	Rmb/ton	712	-0.3%	2.4%	695	682	2.0%
Liulin No. 4 mine-mouth	Rmb/ton	865	0.0%	29.1%	721	641	12.4%
Liulin No. 4 FOR	Rmb/ton	2,040	0.0%	29.1%	1,658	1,399	18.5%
QHD Inventory	mt	7.23	6.8%	3.7%	6.18	6.37	-2.9%

Note: QLD = Queensland; QHD = Qinhuangdao; CCI = China Coal Index; BSPI = Bohai-Rim Steam-Coal Price Index; FOR = Free on Rail. Source: China Coal Transport and Distribution Association (CCTD), McCloskeys, Morgan Stanley Research.

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
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Total	3,668		933			1731	

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China Coal Energy Co., Ltd. (1898.HK)	O (03/16/2026)	HK\$10.27
China Shenhua Energy (1088.HK)	O (11/02/2017)	HK\$41.02
China Shenhua Energy (601088.SS)	E (04/04/2019)	Rmb41.91
Shaanxi Coal Industry (601225.SS)	O (03/16/2026)	Rmb23.11
Shanxi Coking Coal (000983.SZ)	E (10/26/2021)	Rmb6.44
Yancoal Australia Ltd (3668.HK)	O (03/16/2026)	HK\$29.74
Yankuang Energy Group Co Ltd (1171.HK)	O (03/16/2026)	HK\$11.39
Yankuang Energy Group Co Ltd (600188.SS)	E (03/16/2026)	Rmb18.80
Rachel L Zhang		
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